articles on the bond market, but I was looking at the market, and it wasn't going down. I thought, *Wait a minute. If everyone thinks this way, and it seems so logical, then if the market goes the other way, everyone is going to be wrong, and they will have to cover their shorts. That's your trade*. From that point on, it became a matter of not only looking at prices on a chart, but also thinking about why prices were where they were, how people were positioned, and the psychology of the market. You have to try to understand what people are thinking. I began to look at the market from the perspective of other traders. What would I be feeling if I were short bonds, thinking I had this great trade, and seeing the market go against me? That line of thinking led me to take the opposite position, long bonds, which turned out to be a huge winning trade.

Ironically, the way you incorporated fundamentals in that example was in a totally contrarian manner. You weren't using fundamentals to forecast a market direction. Instead, you were looking at the fundamentals that everyone else perceived and observing that the market was going the other way. Is that the standard way you use fundamentals?

The reality is that I'm not being paid to be right; I am being paid to make money. You have to have a degree of flexibility. Whenever I talk to investors, I make it clear to them that whatever I say today about the markets may or may not reflect the positions I have tomorrow or the next day. I recently reviewed a presentation I gave about six months ago, and I realized that everything I had predicted didn't happen—and yet, I made money in almost every month since then.

Can you give me some specific examples of how incorporating fundamentals improved your trading?

The major trade was long bonds, which coincided with the start of the fund in 2000. At the time, we had seen a long period of stock speculation. I thought that economic conditions couldn't get any better.[5] Anyone who had a pulse had a job, equity markets were at their highs, and yet we were not generating any inflation. If we were not generating inflation under those conditions, then what would happen if we started to slow at the margins? I was so focused on the long fixed-income trade that for the